

observation begged the question, “Will the opportunities for returns be higher in global value stocks than in global growth stocks in the future?” There is great debate over this subject.

Growth advocates pounced on the relevance of the value premium. Some people called the value effect an anomaly that is not likely to occur in the future. Others questioned the accuracy of the studies. Still others said that the data is accurate in theory, but that when the theory is applied to real portfolios, trading costs and liquidity constraints erode away any value premium in the marketplace.

In June 1992, Eugene Fama and Ken French fired another volley in defense of the value effect when they published the most comprehensive paper on the subject in the *Journal of Financial Economics*. The paper was titled, “The Cross-Section of Expected Stock Returns.”³

Fama and French (FF) put forth the notion that the performance of a broadly diversified U.S. stock portfolio relied on three primary risk axes to determine its return. Those three risk factors were the basic risk of the market itself (market risk or beta), the percentage of small-cap stocks in the portfolio by market weight (size), and the percentage of value orientation by market weight (the latter defined by the price/book ratio—BtM).

When FF measured how much exposure a widely diversified portfolio had to the three risk factors of beta, size, and BtM, they could determine with 95 percent accuracy how that portfolio performed in relation to the stock market *without knowing the actual return of the portfolio*. That meant that 95 percent of a portfolio’s return is the result of the amount of risk taken in the three factors and that very little of a portfolio’s return is the result of stock selection within the portfolio. The results were a blow to active portfolio managers who until this time had the public believing that it was their stock-picking prowess that had generated most of portfolios’ investment return.

Here is an abbreviated explanation of the three FF factors that explain 95 percent of the return of a diversified U.S. stock portfolio:

1. *Market risk factor*. Commonly referred to as beta (β). All diversified stock portfolios move up or down to some extent with the overall total stock market. Beta is a measurement of the movement of a particular portfolio that is a result of movement in the broad market. On average, about 70 percent of the return of a broadly diversified